

API No. <u>42-405-30934</u> Drilling Permit # <u>914457</u> SWR Exception <u>(R37)</u>		RAILROAD COMMISSION OF TEXAS OIL & GAS DIVISION APPLICATION FOR PERMIT TO DRILL, RECOMPLETE, OR RE-ENTER <i>This facsimile W-1 was generated electronically from data submitted to the RRC.</i> <i>A certification of the automated data is available in the RRC's Austin office.</i>				FORM W-1 07/2004 Permit Status: Approved	
1. RRC Operator No. 103732		2. Operator's Name (as shown on form P-5, Organization Report) ROCKCLIFF ENERGY OPERATING III			3. Operator Address (include street, city, state, zip): 700 MILAM ST STE 2000 HOUSTON, TX 77002-2880		
4. Lease Name HATCH 'B'		5. Well No. 2HB					
GENERAL INFORMATION							
6. Purpose of filing (mark ALL appropriate boxes): ☒ New Drill ☐ Recompletion ☐ Reclass ☐ Field Transfer ☐ Re-Enter ☒ Amended ☐ Amended as Drilled (BHL) (Also File Form W-1D)							
7. Wellbore Profile (mark ALL appropriate boxes): ☐ Vertical ☒ Horizontal (Also File Form W-1H) ☐ Directional (Also File Form W-1D) ☐ Sidetrack							
8. Total Depth 16000		9. Do you have the right to develop the minerals under any right-of-way ? ☒ Yes ☐ No		10. Is this well subject to Statewide Rule 36 (hydrogen sulfide area)? ☐ Yes ☒ No			
SURFACE LOCATION AND ACREAGE INFORMATION							
11. RRC District No. 06		12. County SAN AUGUSTINE		13. Surface Location ☒ Land ☐ Bay/Estuary ☐ Inland Waterway ☐ Offshore			
14. This well is to be located <u>5.6</u> miles in a <u>E</u> direction from <u>SAN AUGUSTINE</u> which is the nearest town in the county of the well site.							
15. Section	16. Block	17. Survey SUBLETT, T		18. Abstract No. A-283	19. Distance to nearest lease line: ft.	20. Number of contiguous acres in lease, pooled unit, or unitized tract: 2284.47	
21. Lease Perpendiculars: <u>395</u> ft from the <u>NORTH</u> line and <u>540</u> ft from the <u>EAST</u> line. 22. Survey Perpendiculars: <u>395</u> ft from the <u>NORTH</u> line and <u>540</u> ft from the <u>EAST</u> line.							
23. Is this a pooled unit? ☐ Yes ☒ No		24. Unitization Docket No:		25. Are you applying for Substandard Acreage Field? ☐ Yes (attach Form W-1A) ☒ No			
FIELD INFORMATION List all fields of anticipated completion including Wildcat. List one zone per line.							
26. RRC District No.	27. Field No.	28. Field Name (exactly as shown in RRC records)		29. Well Type	30. Completion Depth	31. Distance to Nearest Well in this Reservoir	
06	16032300	CARTHAGE (HAYNESVILLE SHALE)		Gas Well	16000	1163.00	
BOTTOMHOLE LOCATION INFORMATION is required for DIRECTIONAL, HORIZONTAL, AND AMENDED AS DRILLED PERMIT APPLICATIONS (see W-1H attachment)							
Remarks See W1 Comments attached				Certificate: I certify that information stated in this application is true and complete, to the best of my knowledge. <u>Belinda Wolf, Regulatory Consultant</u> Name of filer <u>Jul 01, 2026</u> Date submitted <u>(512)9233814</u> Phone <u>belinda.wolf@rockcliffenergy.com</u> E-mail Address (OPTIONAL)			
RRC Use Only				Data Validation Time Stamp: Jul 31, 2026 11:25 AM('As Approved' Version)			

Permit Status:	Approved
<i>The RRC has not approved this application. Duplication or distribution of information is at the user's own risk.</i>	

RAILROAD COMMISSION OF TEXAS
OIL & GAS DIVISION

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1. RRC Operator No. 103732	2. Operator's Name (exactly as shown on form P-5, Organization Report) ROCKCLIFF ENERGY OPERATING III	3. Lease Name HATCH 'B'	4. Well No. 2HB	
Lateral Drainhole Location Information				
5. Field as shown on Form W-1 CARTHAGE (HAYNESVILLE SHALE) (Field # 16032300, RRC District 06)				
6. Section	7. Block	8. Survey ROBERTS, E	9. Abstract 37	10. County of BHL SAN AUGUSTINE
11. Terminus Lease Line Perpendiculars 2980 ft. from the EAST line. and 1410 ft. from the NORTH line				
12. Terminus Survey Line Perpendiculars 1135 ft. from the NORTH line. and 3040 ft. from the EAST line				
13. Penetration Point Lease Line Perpendiculars 330 ft. from the NORTH line. and 612 ft. from the EAST line				

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W-1 Comments

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[Jun 30, 2026 10:55 PM]: Commission Staff expresses no opinion as to whether a 100% ownership interest in each of the leases alone or in combination with a "production sharing agreement" confers the right to drill across lease/unit lines or whether a pooling agreement is also required. However, until that issue is directly addressed and ruled upon by a Texas court of competent jurisdiction it appears that a 100% interest in each of the leases and a production sharing agreement constitute a sufficient colorable claim to the right to drill a horizontal well as proposed to authorize the removal of the regulatory bar and the issuance of a drilling permit by the Commission, assuming the proposed well is in compliance with all other relevant Commission requirements.

Issuance of the permit is not an endorsement or approval of the applicant's stated method of allocating production proceeds among component leases or units. All production must be reported to the Commission as production from the lease or pooled unit on which the wellhead is located and reported production volume must be determined by actual measurement of hydrocarbon volumes prior to leaving that tract and may not be based on allocation or estimation. Payment of royalties is a contractual matter between the lessor and lessee. Interpreting the leases and determining whether the proposed proceeds allocation comports with the relevant leases is not a matter within Commission jurisdiction but a matter for the parties to the lease and, if necessary, a Texas court of competent jurisdiction.

The foregoing statements are not, and should not be construed as, a final opinion or decision of the Railroad Commission.; [FILER Jun 30, 2026 11:18 PM]: Expedited SWR 37 with NPZs removed for Notice and Publication.; [RRC STAFF Jul 2, 2026 4:44 PM]: There have been problems identified with this permit (see problem letter attachment). Notification sent.; [RRC STAFF Jul 7, 2026 9:01 AM]: Uploaded revised P-16.; [RRC STAFF Jul 7, 2026 11:31 AM]: Problems identified with this permit are resolved.; [RRC STAFF Jul 31, 2026 9:35 AM]: Publisher's Affidavit is attached.; [RRC STAFF Jul 31, 2026 11:25 AM]: The financial assurance lacking error was overridden. Staff has confirmed that financial assurance for this operator is in place or is not required. THE ERROR IS A CARRY-OVER FROM THE ORIGINAL ISSUANCE, THERE WAS CURRENTLY NO ISSUE WHEN THIS AMENDMENT WAS FILED.; [RRC STAFF Jul 31, 2026 11:25 AM]: Exception Admin Approved. 37(h)(2)(A). Publication; Service List; Own Offset.